

What Is Stock?

To understand stock mutual funds, you must first understand stock. Stock is sold in units known as shares. A **share of stock** represents a small piece of a company; if you buy stock in a company, you become the owner of a fraction of that company. The more shares you buy, the more of the company you own. The amount of money paid for one share is called the **stock price** or the **price per share**.

FIGURE 5-1 HOW VARIOUS INVESTMENTS HAVE FARED OVER TIME				
Type of investment	Average Return (Nominal)*	Average Return (Real)*	Highest Return (Nominal)**	Lowest Return (Nominal)**
U.S. Treasury bills	3.7%	0.7%	14.7%	0.0%
Government bonds (long term)	5.6%	2.6%	40.4%	-9.2%
Government bonds (intermediate term)	5.4%	2.4%	29.1%	-5.1%
Corporate bonds (long term)	5.8%	2.8%	42.6%	-6.8%
Large company stocks	9.8%	6.8%	54.0%	-43.3%
Small company stocks	11.9%	8.9%	142.9%	-58.0%
*Compound annual total return, 1926-2008 **Best and worst years, 1979-2008 Data © 2008 Morningstar. All rights reserved. Used with permission. Years-to-date performance and annualized returns reflect performance as of November 30, 2008.				

A stock's price rises and falls depending on supply and demand. When a lot of people want to buy a stock, that tends to "bid up" its price, the same way that rival bidders at an art auction might bid up the price of a painting. If, on the other hand, there are more sellers than buyers, the price tends to fall. Anything that might influence investors to buy or sell a company's stock may affect the share price. New information that might lead investors to believe that a company will make more money than previously expected, for example, will generally cause its share price to rise. Unanticipated bad news typically leads to a decrease in price.